

Multiple-Choice Questions — Select One Answer Choice

1. What often triggers financial crises?

- A. Steady economic growth
- B. Low inflation rates
- C. Sharp declines in asset prices
- D. Decreases in unemployment rates

2. Which of the following is a sign of high asymmetric information in financial markets?

- A. Low credit spreads
- B. High credit spreads
- C. Decreasing asset prices
- D. Stable economic growth

3. What happens to financial institutions' balance sheets during the initial phase of a financial crisis?

- A. They improve significantly.
- B. They remain unchanged.
- C. They deteriorate.
- D. They show mixed results.

4. Which of the following is a consequence of asset-price bubbles bursting?

- A. Increased lending
- B. Decreased adverse selection and moral hazard
- C. Improved financial stability

- D. Increased adverse selection and moral hazard

5. What can exacerbate agency problems in mortgage markets?

- A. Mortgage brokers focusing on loan quality over quantity
- B. High regulatory oversight
- C. Mortgage brokers focusing on the volume of loans produced
- D. Decrease in housing prices

6. Which factor contributed significantly to the 2007-2009 financial crisis?

- A. Financial innovation in mortgage markets
- B. Decreased use of mortgage-backed securities
- C. Stringent credit rating processes
- D. Decrease in asymmetric information

7. What is the primary effect of debt deflation during a financial crisis?

- A. It eases the debt burdens of borrowers.
- B. It increases the debt burdens of borrowers.
- C. It has no significant effect on economic activity.
- D. It stimulates lending and investment.

8. What marked the beginning of the financial crisis in 2007?

- A. Stable asset prices
- B. Decrease in credit spreads
- C. A credit boom and bust

- D. An increase in economic activity

9. How does the failure of major financial institutions affect financial markets?

- A. By increasing certainty in the markets
- B. By reducing adverse selection and moral hazard
- C. By increasing adverse selection and moral hazard
- D. By promoting economic growth

10. What is a consequence of a financial crisis on the economy?

- A. Quick recovery and job creation
- B. Long-term economic depression and job losses
- C. Immediate increase in asset prices
- D. Decrease in adverse selection and moral hazard

11. What role do bubbles play in financial crises?

- A. They stabilize the financial market
- B. They are a result of low interest rates only
- C. They often lead to mispricing of assets
- D. They decrease the risk of loan defaults

Multiple-Choice Questions — Select One or More Answer Choices

1. Which of the following can begin a financial crisis?

- A. Credit boom and bust

- B. Asset-price boom and bust
- C. Increase in uncertainty
- D. Decrease in global trade

2. What are the signals of high asymmetric information in financial markets?

- A. High credit spreads
- B. Decreased lending
- C. Increased government spending
- D. High financial frictions

3. During the initial phase of a financial crisis, which of the following occur?

- A. Financial institutions cut back on lending
- B. Value of loans falls
- C. Increase in capital
- D. Deterioration of banking balance sheets

4. What factors contribute to asset-price bubbles?

- A. Credit booms
- B. Relaxed regulations
- C. Contagion of emotions and ideas
- D. High interest rates

5. Which of the following are effects of asset-price bubbles bursting?

- A. Increased lending

- B. Increased adverse selection and moral hazard
- C. Value of firms' assets decline
- D. Financial institutions' assets decline

6. What exacerbates agency problems in mortgage markets?

- A. Mortgage brokers focusing on loan volume
- B. Unqualified borrowers purchasing houses
- C. Creation of complex financial products
- D. Decreased regulation on mortgage lending

7. Which factors played significant roles in the 2007-2009 financial crisis?

- A. Financial innovation in mortgage markets
- B. Agency problems in mortgage markets
- C. Role of asymmetric information in credit rating
- D. High global savings rates

8. How can credit rating agencies contribute to financial crises?

- A. Underestimating the risk of financial products
- B. Advising banks on structuring complex products
- C. Failing to maintain objectivity in ratings
- D. Promoting transparency in financial markets

9. What are the consequences of a banking crisis?

- A. Fire sales of assets

- B. Bank insolvency
- C. Increased economic stability
- D. Severe adverse selection and moral hazard

10. What triggers a financial crisis?

- A. Government surplus
- B. Credit boom and bust cycles
- C. Asset-price boom and bust cycles
- D. Increase in market uncertainty

11. How does the failure of major financial institutions affect the markets?

- A. Decreases lending
- B. Increases adverse selection and moral hazard
- C. Improves market efficiency
- D. Reduces economic activity

12. Which of the following are consequences of financial crises on the economy?

- A. Rapid economic growth
- B. Long-term economic depression
- C. Large job losses
- D. Social unrest